FOSTER v. IRBC2 PROPERTIES LLC et al

21CV45573

DEFENSE DEMURRER TO SAC

This is a wrongful foreclosure case. The operative pleading herein is the Second Amended Complaint filed 01/05/23, which contains the following seven (7) causes of action: wrongful foreclosure; cancellation of instruments; slander of title; intentional and negligent infliction of emotional distress; unfair business practices; accounting; and a new claim for unjust enrichment (having replaced the previous claim for declaratory relief). As this Court has previously noted, plaintiff's general theory of the lawsuit is that California TD Specialists did not have legal authority to conduct, on behalf of 2005 Residential Trust 3-2 by Wilmington Savings Fund Society FSB, a nonjudicial foreclosure sale of plaintiff's residence because (1) one of the entities in the chain (IRBC-2) was misidentified and (2) assignments within the chain were untimely. Because the issue of lawful standing to conduct a nonjudicial foreclosure sale falls within a narrow, and presently underdeveloped, area of law, the parties have focused entirely on the pleadings so far. Unfortunately, the pleadings have never been easy to follow, based largely on plaintiff's writing style and unfamiliarity with pleading rules. Consistent with the "pleadings only" limited approach, here is yet another demurrer – this to the entire Second Amended Complaint, and to each cause of action subsumed therein, by defendants FCI Lender Services, IRBC-2 Properties, Park Tree Investments, Real Time Resolutions, Wilmington Savings Fund, and Connie Riggsby.

<u>Background Facts (as alleged and deduced from incorporated exhibits)</u>

On or about 08/08/02, plaintiff acquired via grant deed, for a reported $25,000, a half-acre lot in the Copper Cove subdivision of Copperopolis, overlooking Lake Tulloch, designated APN 067-022-005, and commonly referred to as 4928 Pueblo Trail, Copperopolis, California (hereinafter "subject property"). Soon thereafter, plaintiff completed construction thereon of a 2,831 sq ft residence with four bedrooms and 3 bathrooms, using funds he borrowed from IndyMac Bank. The amount of the loan is unknown.

On or about 07/06/06, plaintiff secured a home equity line of credit from Countrywide Bank in the amount of $450,496.00 (designated as *Loan No 9160017686*). The note for this line of credit (hereinafter "HELOC") was secured by a deed of trust to the subject property (hereinafter "HELOC-DOT") with the power of sale in favor of MERS as Countrywide's nominated beneficiary. According to plaintiff, this HELOC did not qualify as either a negotiable (Comm. Code §3104) or a bearor (Comm. Code §3205) instrument.

On or about 06/27/12, there was recorded against the property an assignment of the HELOC-DOT **from** MERS **to** The Bank of New York Mellon fka The Bank of New York, as successor trustee to JPMorgan Chase Bank as trustee on behalf of the Certificateholders of the CWHEQ Inc., CWHEQ Revolving Home Equity Loan Trust, Series 2006-G (hereinafter "Mellon"). According to plaintiff, this assignment was "void" because it occurred after the close of that particular securitized pool. However, plaintiff also claims that Mellon holds all the legal and equitable interest in the HELOC. Both cannot be true.

On or about 08/30/16, plaintiff was informed via letter that Ditech Financial LLC's right to collect on plaintiff's loan was being transferred to Real Time Resolutions. At that time, it was reported that plaintiff had a principal balance owing of $491,446.00.

On or about 05/13/17, Real Time Solutions (which secured the servicing obligation on plaintiff's HELOC from DiTech Financial in2016) transferred said servicing obligations to FCI Lender Services, effective 06/01/17. Shortly thereafter, Connie Riggsby caused to be recorded an assignment of the HELOC from Mellon to 2005 Residential Trust 3-1 by Wilmington Savings Fund Society FSB (Instrument No. 2017-010309, hereinafter "Trust 3-1"), and immediately therewith an assignment from Trust 3-1 to 2005 Residential Trust 3-2 by Wilmington Savings Fund Society FSB (hereinafter Trust 3-2). According to plaintiff, there was no evidence of Connie's authority to act on Mellon's behalf (either as Orion VP or CTF VP), subjecting both the second and third assignments to collateral attack.

On or about 04/10/18, California TD Specialists caused to be recorded against the subject property a Notice of Default, reflecting a current arrears of $220,267.36.

On or about 07/11/18, plaintiff filed suit against California TD Specialists, FCI Lender Services, and Trust 3-2. See 18CV43398.

On or about 08/01/18, California TD Specialists caused to be recorded against the subject property a Notice of Trustee's Sale for an estimated accrued debt of $710,657.61.

On or about 07/01/19, plaintiff filed a Request for Dismissal without prejudice of 18CV43398.

On or about 09/05/19, California TD Specialists caused to be recorded against the subject property a Trustee's Deed Upon Sale, indicating that the foreclosing beneficiary (Trust 3-2) secured the property for itself with a full-credit bid of $716,395.00.

On or about 10/16/19, Trust 3-2 caused to be recorded against the subject property a quitclaim deed in favor of "IRBC-2" Properties, LLC.

On 09/02/21, plaintiff filed the pending (second) civil action, this time against California TD Specialists, FCI Lender Services, 2005 Residential Trust 3-2 Wilmington Savings Fund, <u>*plus*</u> IRBC2 Properties, Park Tree Investments, Real Time Resolutions, Connie Riggsby, and Orion Financial Group.

<u>Demurrer to Second Amended Complaint</u>

A demurrer presents an issue of law regarding the sufficiency of the allegations set forth in the complaint. The challenge is limited to the "four corners" of the pleading (which includes exhibits attached and incorporated therein), or from matters outside the pleading which are judicially noticeable. The complaint is read as a whole. Material facts properly pleaded are assumed true, but contentions, deductions or conclusions of fact/law are not. In general, a pleading is adequate if it contains a reasonably precise statement of the ultimate facts, in ordinary and concise language, and with sufficient detail to acquaint a defendant with the nature, source and extent of the claim. (CCP §§ 425.10(a), 459; in accord, *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318; *Gray v. Dignity Health* (2021) 70 Cal.App.5th 225, 236 n.10.)

Defendants demur on the ground that the pleading fails to state sufficient facts. A demurrer on this basis (CCP §430.10(e)) will be denied if, upon consideration of all the facts stated, it appears that the plaintiff is entitled to any relief at the hands of the court against the defendants even though the facts may not be clearly stated or may be intermingled with a statement of other facts irrelevant to the cause of action shown. (*New Livable California v. Association of Bay Area Governments* (2020) 59 Cal.App.5th 709, 714; *Wittenberg v. Bornstein* (2020) 51 Cal.App.5th 556, 566; *Weimer v. Nationstar Mortgage, LLC* (2020) 47 Cal.App.5th 341, 352.)

Before reaching the merits, this Court must note two procedural concerns. <u>First</u>, when plaintiff was granted leave to file an amended pleading, this Court ordered that the pleading "comply with all rules of pleading (including but not limited to CCP §§ 425.10(a), 457, 459, and CRC 2.112), and shall in no event exceed 15 pages (excluding exhibits), which shall comply with CRC 2.100-2.114." The reason for this instruction was plain – to get plaintiff focused on what matters at this stage of the proceeding. Although plaintiff failed to comply, the present iteration is better than the former ones, and as such the transgression will be overlooked this one last time. <u>Second</u>, plaintiff has inserted a new cause of action without obtaining express Court permission to do so. However, when the new cause of action responds directly to the concerns raised by the court, the pleader has implied authority to add the new, refined cause of action. (See *Community Water Coalition v. Santa Cruz County Local Agency Formation Com.* (2011) 200 Cal.App.4th 1317, 1323; *Harris v. Wachovia Mortgage, FSB* (2010) 185 Cal.App.4th 1018, 1023; *Patrick v. Alacer Corp.* (2008) 167 Cal.App.4th 995, 1015.) The new unjust enrichment claim does relate to the issues already in the case, and more importantly the claim fails in any event (see discussion *infra*).

Plaintiff's **first** cause of action is for wrongful foreclosure. There are several discreet theories espoused therein, but as a demurrer the challenge must knock out the entire cause of action, or nothing. (See *Fenimore v. Regents of the University of California* (2016) 245 Cal.App.4th 1339, 1351 [one of the theories untenable]; *Pointe San Diego Residential Community, LP v. Procopio, Cory, Hargreaves & Savitch, LLP* (2011) 195 Cal.App.4th 265, 274 [some theories barred].) For example, while this Court has already found that most of the sub-theories fail as a matter of law (MERS as nominee, MERS power to assign, Riggsby's authority), there is one theory that might survive demurrer, and that is the issue of whether the assignment to a closed pool is void or voidable. (See *Yvanova v. New Century Mortgage Corp*. (2016) 62 Cal.4th 919, 936, 942-943 [borrower can sue when assignment to closed pool is void]; *Kalnoki v. First American Trustee Servicing Solutions, LLC* (2017) 8 Cal.App.5th 23, 43-44 [assignment to closed pool is voidable]; *Yhudai v. IMPAC Funding Corp.* (2016) 1 Cal.App.5th 1252, 1260 [same]; *Saterback v. JPMorgan Chase Bank* (2016) 245 Cal.App.4th 808, 815 n.5 [same]; *Glaski v. Bank of America* (2013) 218 Cal.App.4th 1079, 1083 [assignment to closed pool is void].) Although the overwhelming weight of authority disagrees with *Glaski's* holding that an assignment to a closed pool is void, *Glaski* was similarly rejected by its peers on the standing question (and later validated by the Supreme Court). Since there are facts not available to this Court at this stage (terms of the SPA, whether assignment was accepted into pool, any objection from beneficiary, etc), this question is best resolved at summary judgment. Demurrer OVERRULED.

Plaintiff's **second** cause of action is based on Civil Code §3412, which provides that "a written instrument, in respect to which there is a reasonable apprehension that if left outstanding it may cause serious injury to a person against whom it is void or voidable, may, upon his application, be so adjudged, and ordered to be delivered up or canceled." To plead a cause of action for cancellation of instrument, plaintiff must show that he will be injured or prejudiced if the instrument is not cancelled. (See *Robertson v. Superior Court* (2001) 90 Cal.App.4th 1319, 1323.) An "instrument" is "a written paper signed by a person or persons transferring the title to, or giving a lien on real property, or giving a right to a debt or duty." (Government Code §27279.) Recordings not affecting title are not instruments. (See 5 Miller & Starr, Cal. Real Estate (3d ed. 2000) §11:6, pp. 19–35; *Sisemore v. Master Financial, Inc.* (2007) 151 Cal.App.4th 1388, 1399-1400; *Ward v. Superior Court* (1997) 55 Cal.App.4th 60, 64-65.) Plaintiff identifies a number of recordings, but the only true instrument subject to cancellation here is the trustee's deed upon sale – which plaintiff describes as void because Mellon never had an interest therein. This is a factual dispute that cannot be resolved at the pleading stage. Demurrer OVERRULED.

Plaintiff's **third** cause of action is for slander of title. Slander occurs when a person publishes a false statement that disparages title to property and causes pecuniary loss. To state a claim for slander of title, a plaintiff must allege (1) a publication, (2) which is without privilege or justification, (3) which is false when made, and (4) which causes direct and immediate pecuniary loss. In general, instruments recorded in connection with a nonjudicial foreclosure proceeding are privileged communications under Civil Code §2924(d) and Civil Code §47, except in those rare instances when the publication either was (1) motivated by hatred or ill will towards the plaintiff, or (2) that the defendant lacked reasonable grounds for belief in the truth of the publication and acted in reckless disregard of the plaintiff's rights. (*Schep v. Capital One, N.A.* (2017) 12 Cal.App.5th 1331, 1336-1338; *Kachlon v. Markowitz* (2008) 168 Cal.App.4th 316, 335-

336.) Since the only issue here is whether the assignment to a closed pool is valid, and since this occurred in 2012 – well before the alleged conspirators were involved in the action – there are no facts pled to show that MERS or Mellon acted with hatred, ill will, or recklessness. This is especially true since *Glaski* was decided after MERS made its assignment to Mellon. Even if the assignment is void, no fault can be attributed to MERS or Mellon at the time. Demurrer SUSTAINED WITHOUT LEAVE TO AMEND.

Plaintiff's **fourth** cause of action for intentional and negligent infliction of emotional distress fails to state sufficient facts. First, there is no independent tort of negligent infliction of emotional distress; rather, the tort is negligence, a cause of action in which a duty to the plaintiff is an essential element. It should be pled specifying the duty owed to plaintiff as one imposed by law, assumed by conduct or based on a special relationship. (*Ragland v. U.S. Bank Nat. Assn.* (2012) 209 Cal.App.4th 182, 205; *Behr v. Redmond* (2011) 193 Cal.App.4th 517, 532; *Wooden v. Raveling* (1998) 61 Cal.App.4th 1035, 1043.) The facts pled regarding the 2012 assignment do not support any duty owed to plaintiff. Second, the essential elements of a cause of action for Intentional infliction of Emotional Distress include: (1) extreme and outrageous conduct by the defendant; (2) with the intention of causing, or reckless disregard of the probability of causing, emotional distress; (3) resulting in severe or extreme emotional distress; and (4) actually caused by the defendant's outrageous conduct. (*Hughes v. Pair* (2009) 46 Cal.4th 1035, 1050-1051; *Huntingdon Life Sciences v. Stop Huntingdon Animal Cruelty USA* (2005) 129 Cal.App.4th 1228, 1259.) For a properly plead "extreme and outrageous conduct," the alleged conduct must (1) be pled with reasonable particularity and (2) be so extreme as to exceed all bounds of that usually tolerated in a civilized community and which would – to the average member of the community – arouse resentment against the actor. (*Hughes, supra*, 46 Cal.4th at 1051; *McMahon v. Craig* (2009) 176 Cal.App.4th 1502.) The Economic Loss Rule severely limits any opportunity to recover emotional distress damages in a financial arms-length scenario. (See *Butler-Rupp v. Lourdeaux* (2005) 134 Cal.App.4th 1220.) Although there is an exception for recovery for emotional distress caused by property loss where there is a preexisting relationship or the harm results from an independent intentional tort (see *Ragland v. U.S. Bank Nat. Assn.* (2012) 209 Cal.App.4th 182, and *Lubner v. City of Los Angeles* (1996) 45 Cal.App.4th 525), there are no such facts alleged. Demurrer SUSTAINED WITHOUT LEAVE TO AMEND.

Plaintiff's **fifth** cause of action if for unfair business practices. This claim is effectively duplicative of the first cause of action for wrongful foreclosure, as both rise and fall on the same wrongdoing and carry the same nature of relief. Demurrer OVERRULED.

Plaintiff's **sixth** cause of action for accounting is adequate. Although this is an independent cause of action, the nature of this claim is akin to discovery. In other words, the purpose of this cause of action is to secure from a party in sole possession of books the detail about what is owed on the debt. (See *Fleet v. Bank of America* (2014) 229 Cal.App.4th 1403, 1413; *Jolley v. Chase Home Finance, LLC* (2013) 213 Cal.App.4th 872, 910; *Teselle v. McLoughlin* (2009) 173 Cal.App.4th 156, 179.)

Although plaintiff does not admit to owing anyone anything on his HELOC, he claims that DiTech “charged off” (forgave) the debt. As the servicer, DiTech had no such legal authority, but this becomes more a question of fact to resolve in discovery. Demurrer OVERRULED.

Plaintiff’s new **seventh** cause of action for unjust enrichment fails. Unjust enrichment is not a stand-alone cause of action, or even a remedy per se – it is a general principle underlying other claims/remedies. (*Everett v. Mountains Recreation and Conservancy Authority* (2015) 239 Cal.App.4th 541, 553; *Rutherford Holdings, LLC v. Plaza Del Rey* (2014) 223 Cal.App.4th 221, 231.) Demurrer SUSTAINED WITHOUT LEAVE TO AMEND.

Defendants to answer the Second Amended Complaint within 10 days. The Clerk shall provide notice of this Ruling to the parties forthwith. Defendants to prepare formal Orders pursuant to Rule of Court 3.1312 in conformity with these rulings.

In re MATTER OF SILVEIRA

21PR8357 (Consolidated with 22PR8424, 22PR8425, 22PR8452)

MOTION TO QUASH BUSINESS RECORD SUBPOENAS AND MOTION TO SUBSTITUTE PERSONAL REPRESENTATIVE

In this consolidated probate case, the descendants of Carolyn and David (Sr.) Silveira find themselves fighting over three parcels of land and roughly $500,000 in allegedly missing assets. Before the Court this day is a motion to quash subpoenas for personal and financial records, which are similar to the subpoenas previously issued (and quashed) in 21PR8424 (see Minute Order dtd 10/28/22). That order occurred prior to consolidation, and was based largely on the fact that 21PR8424 only involved an alleged oral promise to Manuel, not the alleged financial irregularities at issue in the other related actions. Also before the Court this day is a motion to substitute a new personal representative.

<u>Motion to Quash Business Record Subpoenas</u>

An allegation has been made that, before her passing, Carolyn "stole" from her husband David Sr. Since Carolyn's estate plan differed from David Sr's, there remains a question about whether Carolyn did improperly take assets, and if so, whether those assets should be redirected to those holding beneficial interests in David Sr's estate.

On 11/10/22, Audrey Petricevich – in her capacity as David Sr's personal representative – caused to be issued the following business record subpoenas:

- To Wells Fargo Bank, N.A., all records pertaining to Carolyn "and/or" David Jr.
- To Wells Fargo Advisors Financial Network, all records pertaining to Carolyn "and/or" David Jr.
- To Pacific Cascade Federal Credit Union, all records pertaining to Carolyn "and/or" David Jr.
- To Transamerica Corporation, all financial records pertaining to Carolyn "and/or" David Jr.
- To Bank of Stockton, all records pertaining to Carolyn
- To Bank of Stockton, all records pertaining to Carolyn "and/or" Francille
- To Charles Schwab & Co, all records pertaining to Carolyn "and/or" Francille
- To Comenity Capital Bank, all records – including records for World Financial Network National Bank and affiliates – pertaining to Carolyn "and/or" Francille

David Jr. and Francille have moved to quash the above-referenced subpoenas on the singular ground that they invade their personal right to privacy. Subsequent thereto, the